AGA KHAN UNIVERSITY EXAMINATION BOARD

SECONDARY SCHOOL CERTIFICATE

CLASS IX EXAMINATION

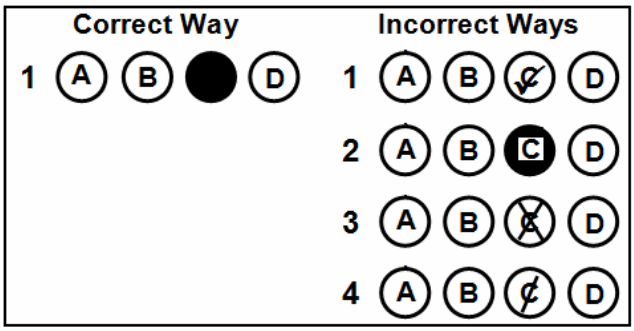
MAY 2014

Business Studies Paper I

Time: 35 minutes Marks: 25

INSTRUCTIONS

1. Read each question carefully.
2. Answer the questions on the separate answer sheet provided. DO NOT write your answers on the question paper.
3. There are 100 answer numbers on the answer sheet. Use answer numbers 1 to 25 only.
4. In each question there are four choices A, B, C, D. Choose ONE. On the answer grid black out the circle for your choice with a pencil as shown below.



Candidate's Signature

5. If you want to change your answer, ERASE the first answer completely with a rubber, before blacking out a new circle.
6. DO NOT write anything in the answer grid. The computer only records what is in the circles.
7. You may use a simple calculator if you wish.

1. Mr. Salman purchases a cell phone for Rs.12,000. His opportunity cost will be

   A. Rs.12,000.
   B. everything else he could have bought with Rs.12,000.
   C. the benefit he gained from purchasing the cell phone.
   D. the next best alternative foregone.

2. Which of the following is the feature of a public sector business organization?

   A. It is owned by the government
   B. It purchases products from other firms and sell them to consumers for profit
   C. It produces only those goods and services that satisfy consumer's basic needs
   D. It combines the factors of productions (FOP's) to make product that satisfies people's wants

3. Added value is the difference between

   A. the price of a product and the cost of the purchased materials.
   B. the price of a product and the value of it.
   C. the total cost and the total revenue of a business.
   D. prices of substitute goods.

4. In which type of leadership style are employees discouraged to become involved in decision making?

   A. Autocratic leadership
   B. Democratic leadership
   C. Laissez-faire leadership
   D. Decentralized leadership

5. Who suggested that each level in the hierarchy of needs must be achieved before an employee can be motivated to the next level of the hierachy?

   A. F.W. Taylor
   B. Abraham Maslow
   C. Frederick Herzberg
   D. McGregor

6. During which phase of a business cycle the economy reaches near or at full employment and the price level is also likely to rise during this phase?

   A. Growth/ recovery/ expansion
   B. Boom/ peak/ prosperity
   C. Recession/ contraction
   D. Downtown/ slump/ trough

7. If markets are uncompetitive then

   A. prices would fall, quality would fall and there would be less choice for customers.
   B. prices would rise, quality would rise and there would be less choice for customers.
   C. prices would fall, quality would rise and there would be more choice for the customers.
   D. prices would rise, quality would fall and there would be less choice for the customers.

8. Which of the following is the merit of economies of scale of a growing business?

   A. Low cost of production as fixed cost remains same as the output rises.
   B. Poor communication as there are so many people to send messages to
   C. Low workforce motivation as they feel less involved in a larger business
   D. Problems with decision making when making different divisions of a business

9. All of the following are external influences of an automobile company activity EXCEPT

   A. release of smoke from automobiles create air pollution.
   B. disposal of chemical industrial waste makes the oceans less able to support marine life.
   C. increased construction leading to increase in noise pollution.
   D. increase in steel production employment.

10. If variable cost is Rs. 30 per unit, then the total variable cost (TVC) of producing 200 units will be

   A. Rs. 2,00
   B. Rs. 2,000
   C. Rs. 6,000
   D. Rs. 60,000

11. All of the following business decisions are likely to need short term finance EXCEPT

   A. building a new factory.
   B. purchasing a return ticket for the sales manager to visit Turkey.
   C. increasing stock of goods for the distribution.
   D. paying creditors for goods supplied.

12. Which of the following best describes current assets?

   A. Long lasting items that can be used repeatedly
   B. Short term assets that can easily be turned into cash
   C. All assets owned by a business
   D. It is a working capital which equals to current assets less current liabilities

13. A company recorded the cost of sales as Rs.140,000 in 2013. Gross profit was Rs.100,000 and net profit was Rs.20,000. The company's value of sales in 2013 was

   A. Rs.24,000
   B. Rs.40,000
   C. Rs.240,000
   D. Rs.260,000

14. Which of the following would be found on the current assets section of a firm's balance sheet?

   A. Land
   B. Machinery
   C. Vehicles
   D. Stock

15. Market segment refers to

   A. the region in which the product is sold.
   B. a part of the world where consumerism is discouraged.
   C. a section of the market made up of consumers with different needs and characteristics.
   D. a section of the market made up of consumers with similar needs and characteristics.

16. Which of the following is the aim of promotion?

   A. Lowering price of the product
   B. Updating product
   C. Informing consumers about the product
   D. Lowering the cost of producing the product

17. All of the following are functions of the marketing department EXCEPT

    A. finding out consumers requirements.
    B. trying to forecast future demand.
    C. satisfying consumer demand profitably.
    D. producing the products that consumers want to buy.

18. Which of the following is NOT an objective of a penetrating pricing strategy?

    A. Launching a new product in a competitive market
    B. Maximizing sales revenue
    C. Increasing market share
    D. Maximizing long term profits

19. Which of the following information is NOT included in a job description?

    A. Job performance criteria
    B. Job tasks and responsibilities
    C. Personal qualities and attributes
    D. Job title and position

20. A company has built a new factory and is seeking additional employees. Which of the following represents the usual order of recruitment and selection procedures?

    A. Advertisement, application, interviews, short-listing, appointment
    B. Advertisement, short-listing, interviews, application, appointment
    C. Application, interviews, short-listing, advertisement, appointment
    D. Advertisement, application, short-listing, interviews, appointment

21. Managers, customers, workers, community and government are collectively known as

    A. entrepreneurs.
    B. organization.
    C. stakeholders.
    D. human resources.

22. In economic condition of recession the major focus of a business is to

    A. obtain higher market share.
    B. obtain cost advantage.
    C. hire good professionals.
    D. survive in the economy.

23. The amount which is deducted from the total cost of the sales revenue is known as

    A. profit.
    B. retained earnings.
    C. surplus.
    D. deficit.

24. The process of bringing people of different departments together to perform effectively is known as

    A. control.
    B. co-ordination.
    C. organisation.
    D. planning.

25. Which of the following can NOT be a part of internal economies of scale?

    A. Managerial economies
    B. Purchasing economies
    C. Technical economies
    D. Poor communication

END OF PAPER